NOTE 9—INCOME TAXES

The components of income taxes are as follows:

	Years Ended December 31,		
	2012	2011	2010
	(in thousands)		
Current tax provision	**$ 9,520**	$8,540	$ 9,578
Deferred tax provision	**576**	172	547
Total provision for income taxes	**$10,096**	$8,712	$10,125

Table of Contents

The income tax provision reconciled to the income taxes that would have been computed at the statutory federal rate of 35% is as follows:

	Years Ended December 31,		
	2012	2011	2010
	(in thousands)		
Federal income tax , at statutory rates	**$11,143**	$ 9,999	$10,270
Increase (deduction) in taxes resulting from:			
Non-taxable interest income	**(1,296)**	(1,387)	(1,407)
State income tax, net of federal income tax effect	**192**	246	1,387
Other, net	**57**	(146)	(125)
Provision for income taxes	**$10,096**	$ 8,712	$10,125

The net deferred tax asset consisted of the following:

	December 31,	
	2012	2011
	(in thousands)	
Deferred tax assets:		
Allowance for loan and lease losses	**$12,271**	$12,023
Valuation reserves for land held for sale and other real estate	**—**	679
Non-accrued interest	**627**	657
Deferred compensation	**1,357**	1,288
Other than temporary impairment loss on investment securities	**374**	374
Unfunded pension benefits	**298**	308
Other, net	**946**	691
Deferred tax assets	**15,873**	16,020
Deferred tax liabilities:		
Core deposit intangible from acquired companies	**—**	58
Deferred loan costs	**1,365**	1,336
Prepaid expenses	**377**	332
Depreciation and amortization	**1,172**	706
Deferred gain on securities	**194**	194
Unrealized gains on securities available for sale	**2,695**	2,093
Other	**531**	575
Deferred tax liabilities	**6,334**	5,294
Net deferred tax assets, included in other assets	**$ 9,539**	$10,726

The Company evaluates the realizability of its deferred tax assets by examining its earnings history and projected future earnings and by assessing whether it is more likely than not that carryforwards would not be realized. Based upon the majority of the Company's deferred tax assets having no expiration date, the Company's earnings history, and the projections of future earnings, the Company's management believes that it is more likely than not that all of the Company's deferred tax assets as of December 31, 2012 will be realized.

Table of Contents

A reconciliation of the beginning and ending amount of unrecognized tax benefits are as follows:

(in thousands)	2012	2011
Balance at January 1	**$ 252**	$ 474
Additions for tax positions of prior years	**22**	39
Reductions for tax positions resulting from lapse of statute of limitations	**(106)**	(195)
Settlements	**—**	(66)
Balance at December 31	**$ 168**	$ 252

The amount of unrecognized tax benefits as of December 31, 2012 and 2011, was $158,000 and $241,000, respectively, all of which, if ultimately recognized, would reduce the Company's annual effective tax rate.

The Company is subject to U.S. federal income tax law as well as income tax of various state jurisdictions. Tax regulations within each jurisdiction are subject to the interpretation of the related tax laws and regulations and require significant judgment to apply. With few significant exceptions, the Company is no longer subject to U.S. federal examinations by tax authorities for the years before 2009 or to state and local examinations by tax authorities for the years before 2008.

The Company recognizes interest accrued and penalties related to unrecognized tax benefits in income tax expense for all periods presented. The Company had accrued approximately $19,000 and $43,000 for the payment of interest and penalties at December 31, 2012 and 2011, respectively.